SCHEDULE WATER

WATER AGENCY TARIFF FOR ELIGIBLE RENEWABLES
(CLOSED SCHEDULE)

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APPLICABILITY

Pursuant to Public Utilities Code (PU Code) Section 399.20 and Commission Decision 07-07-027, this Schedule is optionally available to customers who meet the definition of an Eligible Public Water Agency or Wastewater Agency, as defined in Special Condition (SC) 3a and 3b below, who own and operate an Eligible Renewable Generating Facility, as described in SC 3c, with a total effective generation capacity of not more than 1.5 megawatts (MWs).

Service under this Schedule is on a first come, first served basis and shall be closed to new customers once the combined rated generating capacity of Eligible Renewable Generating Facilities within SDG&E's service territory reaches 20.055 MW which is SDG&E's share of the statewide 250 MWs, based on the ratio of SDG&E's peak demand to the total peak demand of all electrical corporations within the State of California, as described in SC 5 below.

TERRITORY

Within the entire territory served

RATES

The customer's otherwise applicable tariff shall apply except as follows:

SDG&E shall purchase the total output produced by an Eligible Renewable Generating Facility under Option A (Full Buy/Sell) or Option B (Sale of Excess Only) at a rate equal to the Market Referent Price (MPR), as determined by the California Public Utilities Commission pursuant to PU Code Section 399.15, that is applicable on the effective date of the Agreement, subject to the on-line date and term specified in the Agreement (Form 160-1000).

SPECIAL CONDITIONS

1. Agreement: An executed Agreement (Form 160-1000) is required prior to receiving service under this Schedule.

2. Participation in other SDG&E Programs: Customers participating under the provisions of this Schedule may not participate in any other SDG&E interruptible, Self Generation Incentive Program (SGIP), California Solar Initiative, net energy metering program, or other similar programs.

3. Definitions: The following definitions are applicable to service provided under this Schedule.

   a. Eligible Public Water Agency – As defined in Water Code Section 12970, means any public corporation, district, political subdivision, or any other agency or authority now or hereafter organized under the laws of this state which develops, stores, distributes or supplies water.

   b. Eligible Wastewater Agency – Any state, local, or federal agency, as defined in Water Code Section 13625 (b)(1), owning a facility used in the treatment or reclamation of sewage or industrial wastes.

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(Continued)

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SPECIAL CONDITIONS N

3. Definitions (Continued)

c. Eligible Renewable Generating Facility – A generating facility that is owned and operated by an Eligible Public Water Agency or an Eligible Wastewater Agency which receives distribution service from SDG&E, and where the Eligible Renewable Generating Facility meets all of the following criteria:

(1) Has an effective capacity of not more than 1.5 MWs and the facility is located on property owned or under the control of the public water or wastewater agency.

(2) Is interconnected and operates in parallel with the Utility's electric transmission and distribution grid.

(3) Is strategically located and interconnected to the Utility's electric transmission system in a manner that optimizes the deliverability of electricity generated at the facility to load centers.

(4) Is an eligible renewable energy resource, as defined in Public Utilities Code Section 399.12.

4. Metering Requirements: Customers served on this Schedule shall be separately metered with SDG&E's metering to reflect the net generation output amounts of the Eligible Renewable Generating Facility. Customers shall be responsible for all costs associated with separately metering the customer's Eligible Renewable Generating Facility output and associated station load. All metering required for service on this Schedule shall be installed and maintained in accordance with SDG&E's requirements.

5. Customer Participation: Except as provided below, customers may participate in accordance with this Schedule until the sum of all customers' contracted capacity reaches SDG&E's proportionate share of the statewide capacity limit of 250 MW. SDG&E has been allocated 20.055 MW of the capacity limit. The sum of all customers' contracted capacity will be calculated by the summation of all net power ratings (in kW) provided in Form 160-1000. Should additional customers express interest in this Schedule after SDG&E's share of the contract capacity limit is reached, SDG&E will maintain a list of interested customers, ranked in order of the date on which they requested service under this Schedule. Should the capacity installed fall below 20.055 MW, SDG&E will allow those customers from the previously described list of interested customers who remain interested in the tariff the opportunity to participate under this Schedule on a first come, first served basis until the capacity installed plus the contracted capacity taken from the previously described list of interested customers equals 20.055. This process will continue until such time as the installed capacity of projects in operation does not exceed 20.055 which is SDG&E's proportionate share of 250 MW.

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